FUNCTIONAL DESIGN DOCUMENT · VERSION 2.0 · DRAFT FOR REVIEW

EquipRite: many companies, many countries

Requests tied to business units, equipment shared between group companies, intercompany billing and the accounting of each case. Extends FDD v1.7 (RITE-FDD-EQUIPRITE-001).

3	4	27	12 + 36	9	15
scenarios, 16 cases	flow diagrams	journal entries, worked	business + functional requirements	integrations new or changed	decisions for the business

DOCUMENT	VALUE
Title	EquipRite FDD v2.0: multi-company, multi-country and intercompany
Status	Draft for review by Finance, Tax, Treasury, Supply chain, Projects and the EquipRite team. Nothing here is built yet.
Date	31 Oct 2026
Based on	FDD v1.7 (its summary in this repo), the EquipRite data model (services/eqp-v1), the code of the four apps, and the business scenarios given by the product owner on 31 Oct 2026.
Names used	Company 1 = **ProjectCo** (does projects); Company 2 = **FleetCo** (holds the equipment); Customer X = ProjectCo's client; Customer Y = FleetCo's rental customer. Amounts are an example only.
Not decided here	The 15 decisions in section 13 need their owners. The accounting follows common Oracle Fusion practice and must be confirmed against your chart of accounts, tax rules and Fusion setup.

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1 Why version 2

FDD v1.7 assumes one company: the equipment, the projects, the money and the customer all sit in the same legal entity. Its only intercompany case (S10) treats another group company as a *customer*. Real groups work differently:

- **Company 1 does projects** and **Company 2 holds the equipment**; Company 1 takes Company 2's equipment to its own projects.
- Company 1's projects can be **internal** (its own) or **for a customer**, and the equipment cost must land on the right project either way.
- Company 2 also **rents directly to its own customers**.
- Company 2 holds equipment either as **stock** (inventory items) or as **assets** only.
- The companies can be in **different countries**: currencies, tax, customs, calendars and languages differ.
- So **every request belongs to a business unit**, and the money must move between companies correctly: Company 2 bills Company 1.

What v2 changes in v1.7

V1.7	BECOMES IN V2
S10 Internal customer rental (IC billing)	Replaced by scenarios 1 and 2: the user company is not a customer; it uses the owner's fleet on its projects
INT-10 IC billing ("Cost Management, OIC scheduled")	The intercompany invoice pair: AR in the owner, project-coded AP in the user (section 6)
INT-11 AR invoice	Issued by the contracting BU: FleetCo in S3, ProjectCo when it invoices the hire in S2
Equipment Yard → Project Site virtual org (7.17.2D)	Deployment orgs belong to the owner; a transfer order never crosses legal entities (GR-6)
Region / Inventory Org filter (INT-20)	Security and filters by business unit and legal entity, plus orgs
OI-01 billing start, OI-03 IC frequency, OI-04 damage, OI-05 FOB point, OI-06 multi-currency	Answered as recommendations in decisions OD-05, OD-06, OD-11, OD-05 and OD-08
DEC-02 External = third party via AR	Kept; the AR invoice comes from the contracting BU

2 The model in one page

Seven rules everything else follows

GR-1 **Ownership never moves.** FleetCo keeps the unit on its books (Fixed Assets or Inventory) for its whole life. A hire moves custody, location and money, never ownership: no intercompany sale for a rental.

GR-2 **Every request has a requesting business unit.** Everything else is derived from it and from the unit chosen: the legal entity and country of the requester, the project's BU, the owner's BU and legal entity, and the relationship between them.

GR-3 **The cost lands where the work is.** On the user company's project, in its ledger and currency, through its own Payables. The owner never posts into the user's PPM.

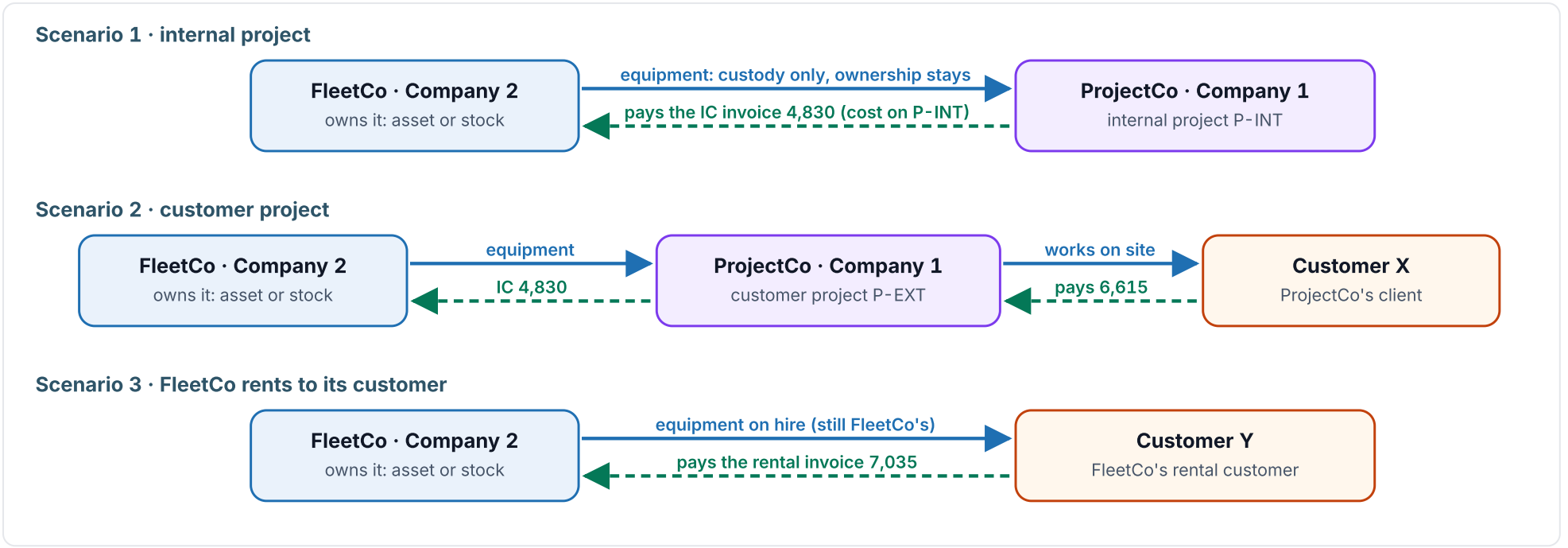
GR-4 **Group prices come from intercompany agreements.** Transfer prices are approved, versioned and kept apart from customer rates; a customer price is never used between group companies, nor the reverse.

GR-5 **One charge, one id, everywhere.** Each charge line has one id that appears on the owner's AR invoice line, the user's AP invoice line and the project cost. Reconciliation is by construction, not by search.

GR-6 **Stock moves stay inside the owner.** Transfer orders run only between orgs of the owner's legal entity (its yard → its own deployment org at the site). A transfer into another company's org would make Fusion treat it as an intercompany sale.

GR-7 **Country rules are data.** Currency, tax, withholding, customs, calendars, time zones, certificates and languages are set per country and legal entity, never coded.

The three scenarios at a glance



Blue: the equipment moves (custody). Green, dashed: the money moves. Ownership stays with FleetCo in all three.

Who is who on a request

ROLE	MEANING	IN THE EXAMPLE
Requesting BU	The business unit that asks (from the user's BU access; chosen when the user has more than one).	ProjectCo BU (S1, S2), FleetCo BU (S3)
Project BU	The BU that owns the project (usually the requesting BU).	ProjectCo BU
Owner (provider) BU / LE	Who owns the unit: from its asset book or its inventory org. Read from Fusion, never typed.	FleetCo
Home yard	The owner's inventory org (or location, for an asset) where the unit lives.	FleetCo Yard B1
Deployment org	The owner's own org (and locator per project or customer site) where its stock sits while on hire.	FleetCo · deployed in Country A
Contracting BU	The company that has the contract with an outside customer and invoices them.	ProjectCo (S2), FleetCo (S3)
Relationship	Computed per line from requesting and owner: see the next table.	IC domestic / IC cross-border

The relationship decides the flow

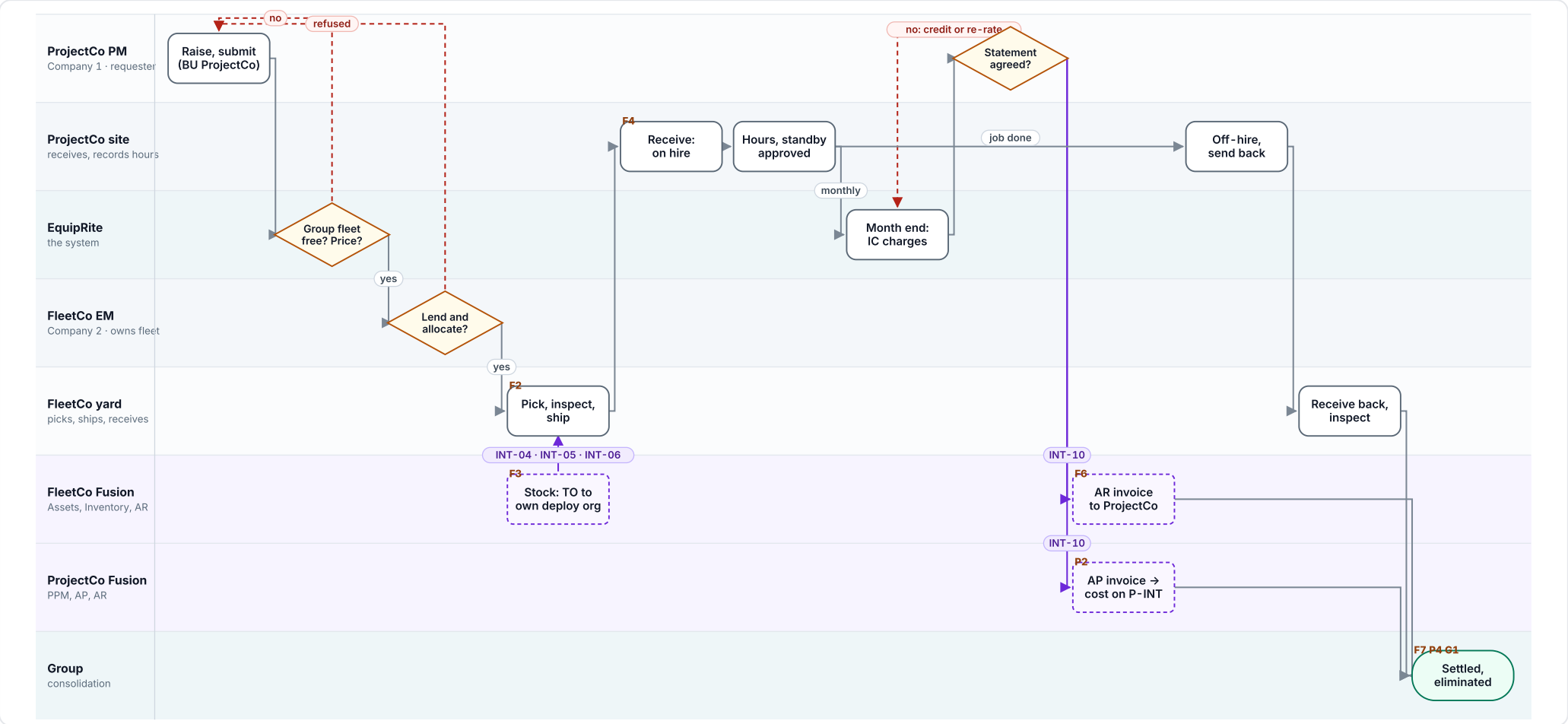
RELATIONSHIP	WHEN	APPROVALS	MONEY	INTERCOMPANY
SAME_BU	Own fleet: the requester owns the unit.	Equipment Manager of the BU	None: cost straight to the project (INT-08, as v1.7)	No
SAME_LE	Two BUs of one legal entity.	Both BUs' managers	PPM cross-charge (borrowed and lent); no invoices, no tax	No
IC_DOMESTIC	Two legal entities in one country.	Requester above threshold; owner always	Invoice pair AR/AP (INT-10), domestic tax	Yes, eliminated
IC_CROSS_BORDER	Two legal entities in two countries.	As above, plus customs and certificates checked	Invoice pair, currency conversion, reverse charge, withholding	Yes, eliminated

Asset or stock

	ASSET (NOT STOCKABLE)	STOCK (INVENTORY ITEM)
Where it is recorded	Fixed Assets book of the owner (capitalised); EquipRite and Fusion Maintenance know where it is	An inventory item (serial-controlled) in the owner's inventory org; on hand by org, subinventory and locator
How it moves	Custody events in EquipRite (dispatch, receipt, return); optional asset location update in Fusion (INT-23)	Transfer orders between the owner's orgs: yard → deployment org → yard (INT-04/05/06)
Accounting when it moves	None	In-transit and inventory entries inside the owner (F3, F4): no profit, no intercompany
Depreciation	Monthly in the owner's book, hired out or not (F1)	None in Inventory: decision OD-03 (hold the fleet as assets, or accept no depreciation)
Lost or destroyed	Retired in the owner's book; the user pays the agreed loss value (R6)	Issued out of inventory (cost of sales); the user pays the agreed loss value
In today's code	Fulfilment class F&M (fixed asset)	Fulfilment class S&T (stock, transfer orders)

3 Scenario 1: internal project

ProjectCo raises a request under its own business unit for an **internal project** (overhead or capital) and uses FleetCo's equipment. FleetCo approves the loan, ships, and bills ProjectCo every month; the cost lands on ProjectCo's project; the group eliminates the intercompany part.



Scenario 1: ProjectCo uses FleetCo's equipment on an internal project. Boxes with a brown code make the journal entries of that code (section 7). Purple: Fusion or OIC; dashed red: back or refused.

#	WHO	STEP	WHAT HAPPENS	ENTRIES
1	**ProjectCo PM**	**Raise, submit (BU ProjectCo)**	Requesting BU ProjectCo, internal project P-INT, task, dates, the site in Country A. ProjectCo's own approval only above its threshold.	
2	**EquipRite**	**Group fleet free? Price?**	Own fleet first, then the providers the IC matrix allows; FleetCo's unit, its location and the transfer price from the IC agreement.	
3	**FleetCo EM**	**Lend and allocate?**	The owner's Equipment Manager approves the loan and picks the unit(s); only FleetCo's fleet is offered.	
4	**FleetCo yard**	**Pick, inspect, ship**	Out of FleetCo's yard; cross-border: export and temporary-import papers.	F2
5	**FleetCo Fusion**	**Stock: TO to own deploy org**	Stock only: the transfer order stays inside FleetCo (yard → FleetCo's deployment org). Asset: custody only, no Fusion move.	F3
6	**ProjectCo site**	**Receive: on hire**	Receipt at the site starts the hire (agreement default).	F4
7	**ProjectCo site**	**Hours, standby approved**	ProjectCo records and approves the hours in the site's time zone and calendar; FleetCo can see them.	
8	**EquipRite**	**Month end: IC charges**	Rental, standby, transport and credits per the IC agreement, one statement for the company pair.	
9	**ProjectCo PM**	**Statement agreed?**	ProjectCo reviews the statement within the dispute window.	
10	**FleetCo Fusion**	**AR invoice to ProjectCo**	FleetCo's intercompany receivable and revenue.	F6
11	**ProjectCo Fusion**	**AP invoice → cost on P-INT**	The mirror invoice, coded to the project; PPM imports the cost.	P2
12	**ProjectCo site**	**Off-hire, send back**	The site releases the unit: the hire ends on the off-hire date.	
13	**FleetCo yard**	**Receive back, inspect**	Stock: the return transfer order (F3/F4 backwards). Damage is charged to ProjectCo like any IC charge.	
14	**Group**	**Settled, eliminated**	Netting or payment; at consolidation the IC revenue and cost cancel out.	F7 P4 G1

Accounting: same country, an asset

ENTRY	ACCOUNT	DEBIT	CREDIT
F1	FleetCo **Every month, hired out or not** asset only	Fusion Assets (depreciation run)	
	Dr Depreciation expense – rental fleet	2,000	
	Cr Accumulated depreciation – rental fleet		2,000
	Ownership never moves, so the owner depreciates the unit all its life. Being on hire changes nothing here.		
F2	FleetCo **The carrier's invoice for the transport out and back**	Fusion Payables	
	Dr Freight and mobilization cost	500	
	Cr Accounts payable – carrier		500
	FleetCo pays the carrier and recharges transport to the user (F6) or the customer (R2).		
F6	FleetCo **Intercompany invoice for the month**	Fusion Receivables (INT-10, invoice pair)	
	Dr Intercompany receivable – ProjectCo	4,830	
	Cr Intercompany rental revenue		4,000
	Cr Intercompany recharge revenue – transport		600
	Cr Output VAT		230
	Customer = ProjectCo's intercompany customer account. Each invoice line carries the EquipRite charge id.		
P2	ProjectCo **Intercompany invoice received (the mirror of F6)**	Fusion Payables (INT-10); PPM imports the project-coded lines	
	Dr Project cost – IC equipment rental (project, task, expenditure type)	4,000	
	Dr Project cost – IC transport	600	
	Dr Input VAT	230	
	Cr Intercompany payable – FleetCo		4,830
	Supplier = FleetCo's intercompany supplier. S1: the internal project (capital → CIP, or overhead → expense). S2: the customer project, where the cost meets the revenue.		
P3	ProjectCo **S1 with a capital project: the asset the project builds goes into service** alternative	Fusion PPM capitalization → Assets	
	Dr Construction in progress (CIP)	4,600	
	Cr Project cost clearing		4,600
	Only when the internal project is capital. An overhead project leaves the cost in expense.		

ENTRY	ACCOUNT	DEBIT	CREDIT
F7	FleetCo **Settled (monthly netting or payment)**	Fusion Receivables / netting	
	Dr Bank (or netting clearing)	4,830	
	Cr Intercompany receivable – ProjectCo		4,830
P4	ProjectCo **Settled (monthly netting or payment)**	Fusion Payables / netting	
	Dr Intercompany payable – FleetCo	4,830	
	Cr Bank (or netting clearing)		4,830
G1	Group **Consolidation: intercompany revenue against intercompany cost**	Fusion GL consolidation / elimination rules	
	Dr Intercompany rental revenue (FleetCo)	4,000	
	Dr Intercompany recharge revenue – transport (FleetCo)	600	
	Cr Project cost – intercompany (ProjectCo)		4,600
	S1 with a capital project: the IC margin sits in CIP and is eliminated from it instead (Cr CIP for the margin over FleetCo's own cost).		
G2	Group **Consolidation: open intercompany balances**	Fusion GL elimination	
	Dr Intercompany payable – FleetCo (ProjectCo)	4,830	
	Cr Intercompany receivable – ProjectCo (FleetCo)		4,830
	Only for what is unsettled at month end. The VAT in it is real (owed to or by tax authorities) and stays.		

If the unit is stock

ENTRY	ACCOUNT	DEBIT	CREDIT
F3	FleetCo **Shipped on the transfer order (home yard → FleetCo's deployment org)** stock only	Fusion Cost Management	
	Dr Inventory in transit	180,000	
	Cr Inventory – home yard		180,000
	Stock only. Both orgs belong to FleetCo, so this is an inter-org move inside one legal entity: no sale, no profit, no intercompany.		
F4	FleetCo **Received at the site (FleetCo's deployment org, locator = project or customer site)** stock only	Fusion Cost Management	
	Dr Inventory – deployed at sites	180,000	
	Cr Inventory in transit		180,000
	Stock only. On the return the two entries run backwards (deployed → in transit → home yard). FOB point: decision OD-05.		

If the companies are in two countries

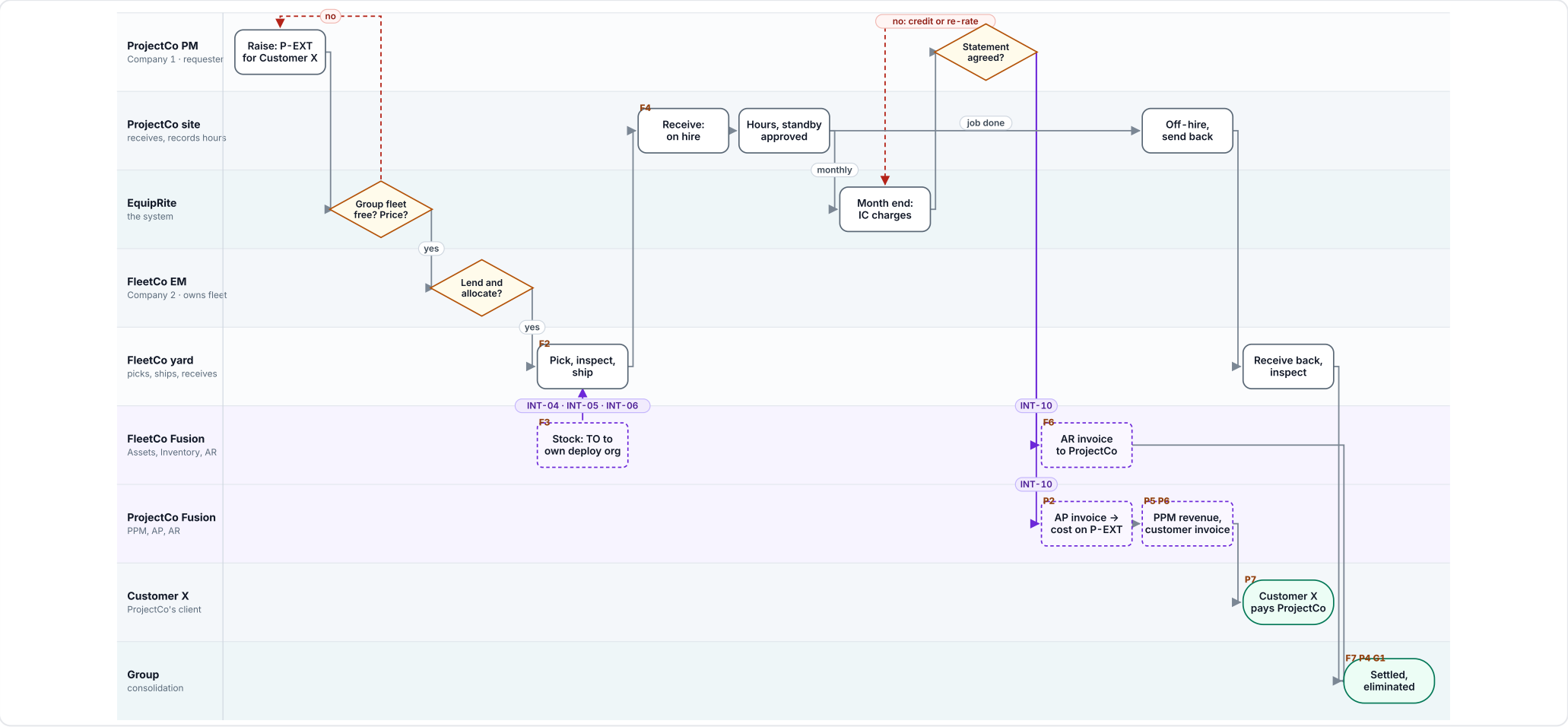
FleetCo invoices in its currency; ProjectCo converts at the invoice date, self-assesses VAT, withholds tax at payment and books the exchange difference. Rates in the example: 0.92 at the invoice, 0.93 at payment; withholding 5 %.

ENTRY	ACCOUNT	DEBIT	CREDIT
XF6	FleetCo **Cross-border: the intercompany invoice** cross-border	Fusion Receivables (INT-10)	
	Dr Intercompany receivable – ProjectCo	4,600	
	Cr Intercompany rental revenue		4,000
	Cr Intercompany recharge revenue – transport		600
	In FleetCo's currency; no output VAT where the service is taxed in ProjectCo's country (reverse charge). The tax team confirms per country pair (OD-09).		
XP2	ProjectCo **Cross-border: the invoice, converted at the invoice date (0.92)** cross-border	Fusion Payables + Tax (reverse charge)	
	Dr Project cost – IC equipment rental and transport	4,232	
	Dr Input VAT (self-assessed)	211.60	
	Cr Output VAT (self-assessed)		211.60
	Cr Intercompany payable – FleetCo		4,232
	Amounts in ProjectCo's currency. Reverse charge nets to zero where the VAT is fully recoverable.		
XP4	ProjectCo **Cross-border: paid at the payment date (0.93), withholding kept back** cross-border	Fusion Payables (withholding tax)	
	Dr Intercompany payable – FleetCo	4,232	
	Dr Realized exchange loss	46	
	Cr Bank		4,064.10
	Cr Withholding tax payable		213.90
	The rate moved between invoice and payment, so ProjectCo books the difference. The withholding goes to ProjectCo's tax authority.		
XF7	FleetCo **Cross-border: paid net of withholding tax** cross-border	Fusion Receivables	
	Dr Bank	4,370	
	Dr Withholding tax credit (or expense)	230	
	Cr Intercompany receivable – ProjectCo		4,600
	ProjectCo withheld 5 % for its tax authority; FleetCo claims it as a credit where a tax treaty allows, else it is a cost.		

Capital project (MC-S03): the IC charge becomes part of an asset ProjectCo builds (P3). At consolidation the group removes FleetCo's margin from that asset, not only from the profit and loss.

4 Scenario 2: customer project

ProjectCo works for **Customer X** on a contract project and uses FleetCo's equipment. Two flows of money: FleetCo bills ProjectCo (intercompany, as scenario 1), and ProjectCo bills Customer X under its contract. ProjectCo's margin is the difference; in the group, only Customer X's revenue remains.



Scenario 2: ProjectCo uses FleetCo's equipment on a project for its customer. Boxes with a brown code make the journal entries of that code (section 7). Purple: Fusion or OIC; dashed red: back or refused.

#	WHO	STEP	WHAT HAPPENS	ENTRIES
1	**ProjectCo PM**	**Raise: P-EXT for Customer X**	Requesting BU ProjectCo; the project is a contract project with Customer X.	
2	**EquipRite**	**Group fleet free? Price?**	As scenario 1. The catalog shows the IC price; the customer's price is on the project contract.	
3	**FleetCo EM**	**Lend and allocate?**	FleetCo approves and allocates.	
4	**FleetCo yard**	**Pick, inspect, ship**	To Customer X's site, where ProjectCo works.	F2
5	**FleetCo Fusion**	**Stock: TO to own deploy org**	Stock only, inside FleetCo.	F3
6	**ProjectCo site**	**Receive: on hire**	The hire starts.	F4
7	**ProjectCo site**	**Hours, standby approved**	The same hours drive the IC charge and the customer billing.	
8	**EquipRite**	**Month end: IC charges**	One IC statement FleetCo → ProjectCo.	
9	**ProjectCo PM**	**Statement agreed?**	Dispute window as scenario 1.	
10	**FleetCo Fusion**	**AR invoice to ProjectCo**	FleetCo's IC revenue.	F6
11	**ProjectCo Fusion**	**AP invoice → cost on P-EXT**	Billable cost on the customer project.	P2
12	**ProjectCo Fusion**	**PPM revenue, customer invoice**	ProjectCo bills Customer X under its contract (OD-07 a), or EquipRite invoices the hire (OD-07 b, P8): never both.	P5 P6
13	**Customer X**	**Customer X pays ProjectCo**	Customer revenue stays in the group.	P7
14	**ProjectCo site**	**Off-hire, send back**	The hire ends.	
15	**FleetCo yard**	**Receive back, inspect**	Damage: charged to ProjectCo (IC), which may recover it from Customer X under its contract.	
16	**Group**	**Settled, eliminated**	The IC part cancels out; ProjectCo's margin is customer revenue less the IC cost.	F7 P4 G1

Accounting

The intercompany part is scenario 1's (F2, F6, P2, F7, P4, G1, G2) on project P-EXT. What scenario 2 adds:

ENTRY	ACCOUNT	DEBIT	CREDIT
P5	ProjectCo **Project revenue as the equipment is used (bill rates of the contract)**	Fusion PPM (Project Billing: revenue)	
	Dr Unbilled receivable – Customer X	6,300	
	Cr Project revenue – equipment		6,300
	Recommended way (OD-07 a): the IC equipment cost lines are billable on the customer contract at its bill rates.		
P6	ProjectCo **Customer invoice**	Fusion PPM (Project Billing) → Receivables	
	Dr Accounts receivable – Customer X	6,615	
	Cr Unbilled receivable – Customer X		6,300
	Cr Output VAT		315
P7	ProjectCo **Customer pays**	Fusion Receivables	
	Dr Bank	6,615	
	Cr Accounts receivable – Customer X		6,615
P8	ProjectCo **Alternative (OD-07 b): EquipRite rental invoice from ProjectCo instead of P5–P6** alternative	Fusion Receivables (INT-11)	
	Dr Accounts receivable – Customer X	6,615	
	Cr Equipment rental revenue (sub-hire)		6,300
	Cr Output VAT		315
	Then the IC expenditure types are non-billable on the contract, so the customer is never billed twice.		

6,300
billed to Customer X (before VAT)

4,600
IC cost from FleetCo

1,700
ProjectCo's margin

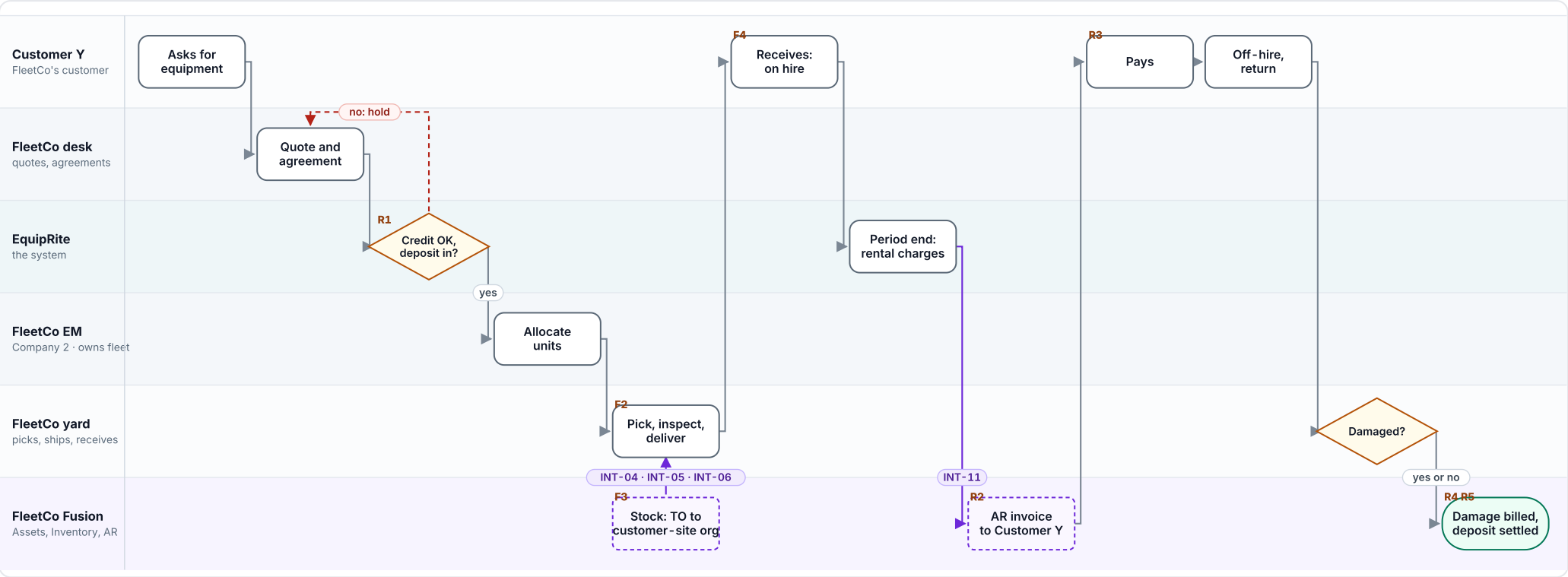
≈ 3,952.42
group margin (less FleetCo's carrier and a share of depreciation)

0
intercompany left after elimination

Never bill the customer twice: if EquipRite invoices the hire from ProjectCo (P8), the IC equipment expenditure types are non-billable on the contract; if the contract bills them (P5, P6), EquipRite issues no customer invoice (OD-07).

5 Scenario 3: FleetCo rents to its customer

FleetCo rents its own equipment to **Customer Y**. No intercompany: FleetCo is the requesting and contracting BU, quotes, checks credit, delivers, invoices through Fusion AR, inspects the return, and settles the deposit.



Scenario 3: FleetCo rents its equipment to its own customer. Boxes with a brown code make the journal entries of that code (section 7). Purple: Fusion or OIC; dashed red: back or refused.

#	WHO	STEP	WHAT HAPPENS	ENTRIES
1	**Customer Y**	**Asks for equipment**	By the portal or through FleetCo's rental desk.	
2	**FleetCo desk**	**Quote and agreement**	Requesting (contracting) BU FleetCo, customer rates, deposit, credit terms.	
3	**EquipRite**	**Credit OK, deposit in?**	Customer account and credit limit from Fusion AR; the deposit if the agreement asks.	R1
4	**FleetCo EM**	**Allocate units**	From FleetCo's own fleet.	

#	WHO	STEP	WHAT HAPPENS	ENTRIES
5	FleetCo yard	**Pick, inspect, deliver**	Delivery to Customer Y's site (cross-border: export and import papers).	F2
6	FleetCo Fusion	**Stock: TO to customer-site org**	Stock only: FleetCo's own customer-site org; the customer never owns it.	F3
7	Customer Y	**Receives: on hire**	The hire starts.	F4
8	EquipRite	**Period end: rental charges**	Rates from the customer agreement; meters or hours where the agreement bills by use.	
9	FleetCo Fusion	**AR invoice to Customer Y**	Through Fusion Receivables, so country e-invoicing applies.	R2
10	Customer Y	**Pays**	Receipt in Fusion.	R3
11	Customer Y	**Off-hire, return**	The hire ends.	
12	FleetCo yard	**Damaged?**	Return inspection with photos.	
13	FleetCo Fusion	**Damage billed, deposit settled**	Damage charged and repaired; the deposit offsets it, the rest is refunded.	R4 R5

Accounting

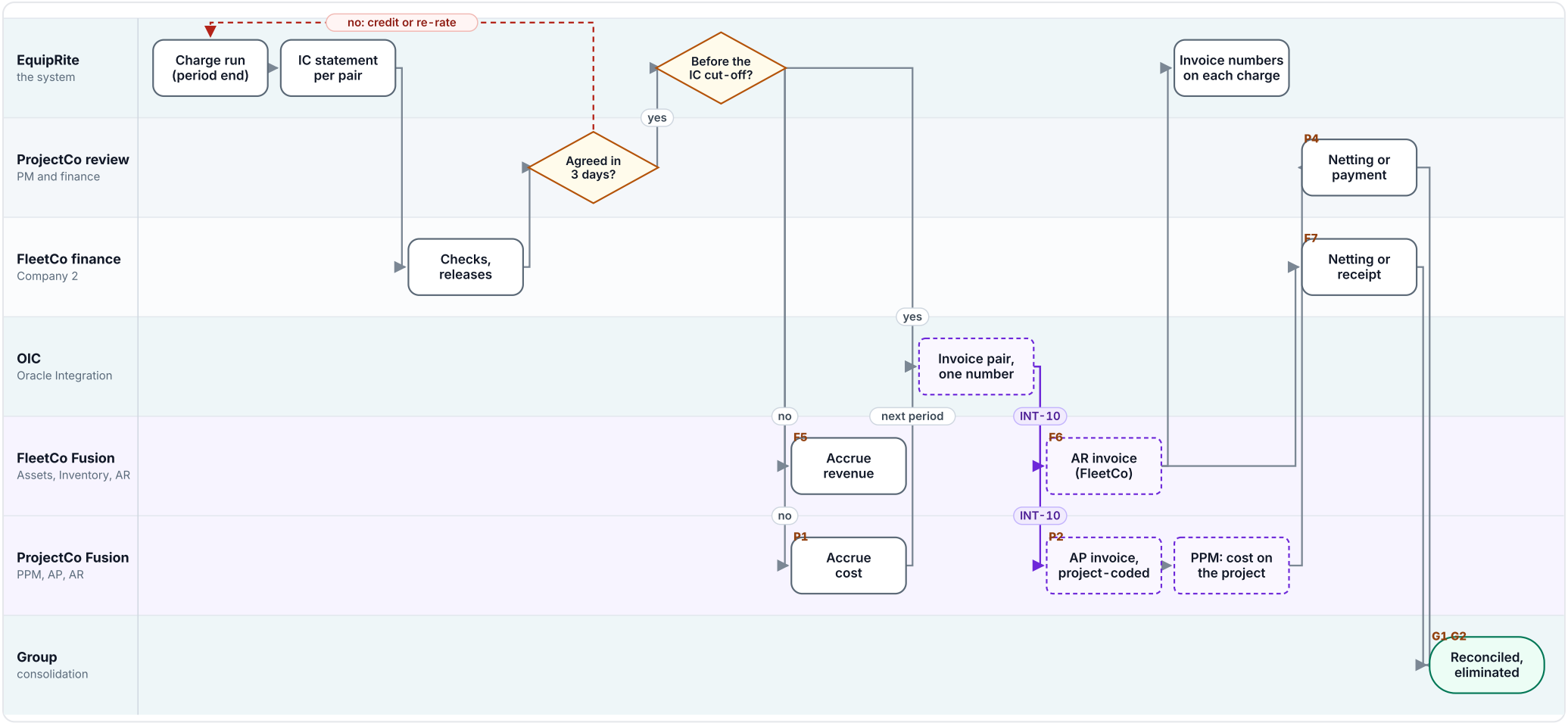
ENTRY	ACCOUNT	DEBIT	CREDIT
R1	FleetCo **Deposit, when the agreement asks for one**		Fusion Receivables (receipt)
	Dr Bank	5,000	
	Cr Customer deposits (liability)		5,000
F2	FleetCo **The carrier's invoice for the transport out and back**		Fusion Payables
	Dr Freight and mobilization cost	500	
	Cr Accounts payable – carrier		500
	FleetCo pays the carrier and recharges transport to the user (F6) or the customer (R2).		
R2	FleetCo **Rental invoice for the period**		Fusion Receivables (INT-11)
	Dr Accounts receivable – Customer Y	7,035	
	Cr Rental revenue – external		6,000
	Cr Delivery revenue		700
	Cr Output VAT		335
	No intercompany anywhere in S3.		

ENTRY	ACCOUNT	DEBIT	CREDIT
R3	FleetCo **Customer pays**		Fusion Receivables
	Dr Bank	7,035	
	Cr Accounts receivable – Customer Y		7,035
R4	FleetCo **Damage found at the return inspection**		Fusion Receivables; repair through Maintenance / Payables
	Dr Accounts receivable – Customer Y	1,575	
	Cr Damage recovery income		1,500
	Cr Output VAT		75
	Dr Repairs and maintenance	1,200	
	Cr Accounts payable – repairer (or work order cost)		1,200
	Two entries in one: the charge to the customer and the repair cost.		
R5	FleetCo **Deposit settled: damage taken from it, the rest refunded**		Fusion Receivables / Payables
	Dr Customer deposits (liability)	5,000	
	Cr Accounts receivable – Customer Y		1,575
	Cr Bank (refund)		3,425
R6	FleetCo **Lost or destroyed: charged at the agreed loss value, the asset retired** if lost		Fusion Receivables + Assets (retirement)
	Dr Accounts receivable – the user (Customer Y, or ProjectCo as intercompany)	157,500	
	Cr Asset sale proceeds clearing		150,000
	Cr Output VAT		7,500
	Dr Accumulated depreciation	60,000	
	Dr Asset sale proceeds clearing	150,000	
	Dr Loss on disposal	30,000	
	Cr Rental fleet – cost		240,000
	Net book value 180000. A stock unit is issued instead (cost of sales against inventory). In S1/S2 ProjectCo books the charge as project cost or an insurance claim.		

FleetCo's monthly depreciation (F1) and, for stock, the moves inside FleetCo (F3, F4) are as scenario 1. Revenue 6,700 against the carrier and about a month of depreciation: ≈ 4,352.42.

6 How FleetCo bills ProjectCo

The answer to "how does Company 2 bill Company 1": one statement per company pair per month from EquipRite, agreed by both, turned into an **invoice pair** (FleetCo's AR invoice and ProjectCo's mirror AP invoice, project-coded), accrued if late, settled by netting, reconciled by charge id and eliminated.



How FleetCo bills ProjectCo: the intercompany billing cycle. Boxes with a brown code make the journal entries of that code (section 7). Purple: Fusion or OIC; dashed red: back or refused.

#	WHO	STEP	WHAT HAPPENS	ENTRIES
1	EquipRite	**Charge run (period end)**	Every on-hire unit of every IC agreement: rental by the rate engine, standby, transport, operator, damage, credits.	
2	EquipRite	**IC statement per pair**	One statement per provider–receiver pair and period, with the evidence (on/off-hire, hours).	
3	FleetCo finance	**Checks, releases**	FleetCo releases its statement.	
4	ProjectCo review	**Agreed in 3 days?**	ProjectCo accepts or disputes lines with a reason. Silence = accepted at the end of the window.	
5	EquipRite	**Before the IC cut-off?**	Invoices must exist in both ledgers before the group's IC cut-off.	
6	FleetCo Fusion	**Accrue revenue**	Reverses on day 1; the invoice follows next period.	F5
7	ProjectCo Fusion	**Accrue cost**	Same amount, same charge ids.	P1
8	OIC	**Invoice pair, one number**	One call creates both invoices; retried safely by the statement id.	
9	FleetCo Fusion	**AR invoice (FleetCo)**	Customer = ProjectCo's IC customer account.	F6
10	ProjectCo Fusion	**AP invoice, project-coded**	Supplier = FleetCo's IC supplier; distributions carry project, task, expenditure type and org.	P2
11	ProjectCo Fusion	**PPM: cost on the project**	Supplier cost imported from AP.	
12	EquipRite	**Invoice numbers on each charge**	Both invoice numbers come back to every charge line.	
13	FleetCo finance	**Netting or receipt**	Monthly netting between group companies (OD-10).	F7
14	ProjectCo review	**Netting or payment**	Cross-border: withholding tax and FX (XP4).	P4
15	Group	**Reconciled, eliminated**	EquipRite charges = FleetCo AR = ProjectCo AP, line by line; then eliminated.	G1 G2

What is charged

CHARGE	RULE	FROM
Rental	Per on-hire unit and period, by the v1.7 rate engine (six periods, thresholds, complete period or utilised duration) on the IC rate schedule	IC agreement
Standby / idle	Standby hours at the agreed % of the rate; idle billed only if the agreement says so (v1.7 BILL_IDLE_TIME)	Timesheets
Minimum hire	A minimum number of days or weeks per hire	IC agreement

CHARGE	RULE	FROM
Transport	Out and back (mobilization, demobilization): a lump sum or the carrier's cost plus the agreed %	Shipments
Operator, fuel	Only when FleetCo supplies them: hours of its operators, fuel at cost plus %	Timesheets, issues
Breakdown credit	Downtime the owner caused (its maintenance or a fault) above the agreed hours is not charged	Breakdown records
Damage	Repair cost found at the return inspection, with photos and the repair estimate; approval rule OD-11	Inspections
Loss	The agreed loss value (e.g. net book value plus %) when a unit is lost or destroyed	Loss record
Credits and corrections	From disputes: a credit line on the next statement, never an edit of an invoiced line	Disputes

The month

WHEN	WHAT	WHO
Day 1 (after the period)	Charge run; statements per company pair; accruals of the previous run reverse	EquipRite
Days 1–3	FleetCo releases; ProjectCo reviews: accept, or dispute lines with a reason (silence = accepted)	Both
Day 4	Invoice pair created for everything agreed (INT-10); invoice numbers back on each charge	OIC, Fusion
IC cut-off	Whatever is not invoiced is accrued in both ledgers with the same amounts (INT-24)	EquipRite, Fusion GL
Day 5	IC reconciliation: EquipRite charges = FleetCo AR = ProjectCo AP, by charge id	Finance
Day 6	Consolidation and elimination	Group finance
Netting date	Monthly netting of intercompany balances (or payment); withholding on cross-border payments	Treasury

The mechanism: four ways, one recommended (OD-01)

OPTION	HOW	FOR	AGAINST
A · Invoice pair from EquipRite (recommended across legal entities)	EquipRite's statement → OIC creates the AR invoice in FleetCo and the mirror AP invoice in ProjectCo, project-coded; PPM imports the AP cost	Full control of the rental rules; works across ledgers, currencies and countries; tax and e-invoicing by Fusion; 1:1 with EquipRite's charges	EquipRite owns the mirroring; needs the IC customer and supplier set up per pair

OPTION	HOW	FOR	AGAINST
B · Fusion PPM intercompany billing	Equipment usage costed on a FleetCo provider project; a PPM intercompany contract bills ProjectCo's project at transfer prices	Native PPM cross-charge rules and reports	Needs a provider project and costs there first; the rental rules move into PPM; heavier setup
C · Fusion Intercompany transactions	IC transactions between the two IC organizations; invoices only where the pair requires them	Light; good for non-project charges	The cost does not reach ProjectCo's project by itself; weak for tax across borders
D · PPM cross-charge (borrowed and lent)	Only for two BUs of the same legal entity	No invoices, no tax	Not possible across legal entities

Why A: the hire's rules (rate periods, standby, breakdown credits, minimum hire) already live in EquipRite's rate engine, the user's cost must reach a PPM project in another ledger and currency, and cross-border tax and e-invoicing must run in Fusion. A keeps one charge id from EquipRite to both invoices and the project.

7 Accounting entries

Every entry of the worked example, by company. Assumptions: a hire of 4 weeks at 1,000/week between the companies, transport 600 (carrier 500), Customer X billed 1,400/week plus 700, Customer Y 1,500/week plus 700, VAT 5 %, the unit's cost 240,000 with 60,000 depreciated, depreciation 2,000 a month, stock book value 180,000. Account names are generic: map them to your chart of accounts.

4,830	6,615	7,035	4,232	46
IC invoice FleetCo → ProjectCo (with VAT)	ProjectCo → Customer X (S2)	FleetCo → Customer Y (S3)	cross-border IC cost in ProjectCo's currency	exchange loss at payment (cross-border)

FleetCo (Company 2)

ENTRY	ACCOUNT	DEBIT	CREDIT
F1	FleetCo **Every month, hired out or not** asset only	Fusion Assets (depreciation run)	
	Dr Depreciation expense – rental fleet	2,000	
	Cr Accumulated depreciation – rental fleet		2,000
	Ownership never moves, so the owner depreciates the unit all its life. Being on hire changes nothing here.		
F2	FleetCo **The carrier's invoice for the transport out and back**	Fusion Payables	
	Dr Freight and mobilization cost	500	
	Cr Accounts payable – carrier		500
	FleetCo pays the carrier and recharges transport to the user (F6) or the customer (R2).		
F3	FleetCo **Shipped on the transfer order (home yard → FleetCo's deployment org)** stock only	Fusion Cost Management	
	Dr Inventory in transit	180,000	
	Cr Inventory – home yard		180,000
	Stock only. Both orgs belong to FleetCo, so this is an inter-org move inside one legal entity: no sale, no profit, no intercompany.		
F4	FleetCo **Received at the site (FleetCo's deployment org, locator = project or customer site)** stock only	Fusion Cost Management	
	Dr Inventory – deployed at sites	180,000	
	Cr Inventory in transit		180,000
	Stock only. On the return the two entries run backwards (deployed → in transit → home yard). FOB point: decision OD-05.		

ENTRY	ACCOUNT	DEBIT	CREDIT
F5	FleetCo **Month end, only if the statement is not invoiced by the IC cut-off** (if not invoiced by the cut-off) — Fusion GL journal from EquipRite (INT-24), reverses on day 1		
	Dr Unbilled intercompany receivable – ProjectCo	4,600	
	Cr Intercompany rental revenue		4,000
	Cr Intercompany recharge revenue – transport		600
	Mirrored by P1 in ProjectCo with the same amount, so both ledgers close the month on the same number.		
F6	FleetCo **Intercompany invoice for the month** — Fusion Receivables (INT-10, invoice pair)		
	Dr Intercompany receivable – ProjectCo	4,830	
	Cr Intercompany rental revenue		4,000
	Cr Intercompany recharge revenue – transport		600
	Cr Output VAT		230
	Customer = ProjectCo's intercompany customer account. Each invoice line carries the EquipRite charge id.		
F7	FleetCo **Settled (monthly netting or payment)** — Fusion Receivables / netting		
	Dr Bank (or netting clearing)	4,830	
	Cr Intercompany receivable – ProjectCo		4,830
XF6	FleetCo **Cross-border: the intercompany invoice** (cross-border) — Fusion Receivables (INT-10)		
	Dr Intercompany receivable – ProjectCo	4,600	
	Cr Intercompany rental revenue		4,000
	Cr Intercompany recharge revenue – transport		600
	In FleetCo's currency; no output VAT where the service is taxed in ProjectCo's country (reverse charge). The tax team confirms per country pair (OD-09).		
XF7	FleetCo **Cross-border: paid net of withholding tax** (cross-border) — Fusion Receivables		
	Dr Bank	4,370	
	Dr Withholding tax credit (or expense)	230	
	Cr Intercompany receivable – ProjectCo		4,600
	ProjectCo withheld 5 % for its tax authority; FleetCo claims it as a credit where a tax treaty allows, else it is a cost.		
R1	FleetCo **Deposit, when the agreement asks for one** — Fusion Receivables (receipt)		
	Dr Bank	5,000	
	Cr Customer deposits (liability)		5,000

ENTRY	ACCOUNT	DEBIT	CREDIT
R2	FleetCo **Rental invoice for the period**	Fusion Receivables (INT-11)	
	Dr Accounts receivable – Customer Y	7,035	
	Cr Rental revenue – external		6,000
	Cr Delivery revenue		700
	Cr Output VAT		335
	No intercompany anywhere in S3.		
R3	FleetCo **Customer pays**	Fusion Receivables	
	Dr Bank	7,035	
	Cr Accounts receivable – Customer Y		7,035
R4	FleetCo **Damage found at the return inspection**	Fusion Receivables; repair through Maintenance / Payables	
	Dr Accounts receivable – Customer Y	1,575	
	Cr Damage recovery income		1,500
	Cr Output VAT		75
	Dr Repairs and maintenance	1,200	
	Cr Accounts payable – repairer (or work order cost)		1,200
	Two entries in one: the charge to the customer and the repair cost.		
R5	FleetCo **Deposit settled: damage taken from it, the rest refunded**	Fusion Receivables / Payables	
	Dr Customer deposits (liability)	5,000	
	Cr Accounts receivable – Customer Y		1,575
	Cr Bank (refund)		3,425
R6	FleetCo **Lost or destroyed: charged at the agreed loss value, the asset retired** if lost	Fusion Receivables + Assets (retirement)	
	Dr Accounts receivable – the user (Customer Y, or ProjectCo as intercompany)	157,500	
	Cr Asset sale proceeds clearing		150,000
	Cr Output VAT		7,500
	Dr Accumulated depreciation	60,000	
	Dr Asset sale proceeds clearing	150,000	
	Dr Loss on disposal	30,000	
	Cr Rental fleet – cost		240,000
	Net book value 180000. A stock unit is issued instead (cost of sales against inventory). In S1/S2 ProjectCo books the charge as project cost or an insurance claim.		

ProjectCo (Company 1)

ENTRY	ACCOUNT	DEBIT	CREDIT
P1	**ProjectCo Month end, mirror of F5** if not invoiced by the cut-off	Fusion GL journal from EquipRite (INT-24), reverses on day 1	
	Dr Project equipment cost (accrued) – intercompany	4,600	
	Cr Accrued intercompany payable – FleetCo		4,600
	The project gets its cost from the AP invoice (P2); the accrual only keeps the month's GL right.		
P2	**ProjectCo Intercompany invoice received (the mirror of F6)**	Fusion Payables (INT-10); PPM imports the project-coded lines	
	Dr Project cost – IC equipment rental (project, task, expenditure type)	4,000	
	Dr Project cost – IC transport	600	
	Dr Input VAT	230	
	Cr Intercompany payable – FleetCo		4,830
	Supplier = FleetCo's intercompany supplier. S1: the internal project (capital → CIP, or overhead → expense). S2: the customer project, where the cost meets the revenue.		
P3	**ProjectCo S1 with a capital project: the asset the project builds goes into service** alternative	Fusion PPM capitalization → Assets	
	Dr Construction in progress (CIP)	4,600	
	Cr Project cost clearing		4,600
	Only when the internal project is capital. An overhead project leaves the cost in expense.		
P4	**ProjectCo Settled (monthly netting or payment)**	Fusion Payables / netting	
	Dr Intercompany payable – FleetCo	4,830	
	Cr Bank (or netting clearing)		4,830
XP2	**ProjectCo Cross-border: the invoice, converted at the invoice date (0.92)** cross-border	Fusion Payables + Tax (reverse charge)	
	Dr Project cost – IC equipment rental and transport	4,232	
	Dr Input VAT (self-assessed)	211.60	
	Cr Output VAT (self-assessed)		211.60
	Cr Intercompany payable – FleetCo		4,232
	Amounts in ProjectCo's currency. Reverse charge nets to zero where the VAT is fully recoverable.		

ENTRY	ACCOUNT	DEBIT	CREDIT
XP4	ProjectCo **Cross-border: paid at the payment date (0.93), withholding kept back** cross-border	Fusion Payables (withholding tax)	
	Dr Intercompany payable – FleetCo	4,232	
	Dr Realized exchange loss	46	
	Cr Bank		4,064.10
	Cr Withholding tax payable		213.90
	The rate moved between invoice and payment, so ProjectCo books the difference. The withholding goes to ProjectCo's tax authority.		
P5	ProjectCo **Project revenue as the equipment is used (bill rates of the contract)**	Fusion PPM (Project Billing: revenue)	
	Dr Unbilled receivable – Customer X	6,300	
	Cr Project revenue – equipment		6,300
	Recommended way (OD-07 a): the IC equipment cost lines are billable on the customer contract at its bill rates.		
P6	ProjectCo **Customer invoice**	Fusion PPM (Project Billing) → Receivables	
	Dr Accounts receivable – Customer X	6,615	
	Cr Unbilled receivable – Customer X		6,300
	Cr Output VAT		315
P7	ProjectCo **Customer pays**	Fusion Receivables	
	Dr Bank	6,615	
	Cr Accounts receivable – Customer X		6,615
P8	ProjectCo **Alternative (OD-07 b): EquipRite rental invoice from ProjectCo instead of P5–P6** alternative	Fusion Receivables (INT-11)	
	Dr Accounts receivable – Customer X	6,615	
	Cr Equipment rental revenue (sub-hire)		6,300
	Cr Output VAT		315
	Then the IC expenditure types are non-billable on the contract, so the customer is never billed twice.		

Group consolidation

ENTRY	ACCOUNT	DEBIT	CREDIT
G1	**Group Consolidation: intercompany revenue against intercompany cost**	Fusion GL consolidation / elimination rules	
	Dr Intercompany rental revenue (FleetCo)	4,000	
	Dr Intercompany recharge revenue – transport (FleetCo)	600	
	Cr Project cost – intercompany (ProjectCo)		4,600
	S1 with a capital project: the IC margin sits in CIP and is eliminated from it instead (Cr CIP for the margin over FleetCo's own cost).		
G2	**Group Consolidation: open intercompany balances**	Fusion GL elimination	
	Dr Intercompany payable – FleetCo (ProjectCo)	4,830	
	Cr Intercompany receivable – ProjectCo (FleetCo)		4,830
	Only for what is unsettled at month end. The VAT in it is real (owed to or by tax authorities) and stays.		

8 More scenarios

The cases EquipRite must handle, each tied to a scenario and its entries.

CASE	WHAT	SCENARIO	RELATIONSHIP	ENTRIES AND EFFECT
MC-S01	ProjectCo internal project uses a FleetCo asset (same country)	S1	IC_DOMESTIC, asset	F1 F2 F6 F7 P2 P4 G1
MC-S02	ProjectCo internal project uses FleetCo stock (other country)	S1	IC_CROSS_BORDER, stock	F2 F3 F4 XF6 XF7 XP2 XP4 G1; customs record
MC-S03	Capital internal project (the cost becomes part of an asset)	S1	any IC	P2 P3; G1 eliminates the margin from CIP
MC-S04	ProjectCo customer project; PPM bills the customer	S2	any IC	F6 P2 P5 P6 P7 G1
MC-S05	ProjectCo customer project; EquipRite invoices the hire from ProjectCo	S2	any IC	F6 P2 P8 G1 (contract lines non-billable)
MC-S06	FleetCo rents to its customer, same country	S3	no IC	F1 F2 R1 R2 R3
MC-S07	FleetCo rents to a customer in another country	S3	no IC, cross-border	R2 without VAT where exported; customs; customer withholding
MC-S08	Own fleet: ProjectCo uses its own equipment	baseline	SAME_BU	v1.7: cost to the project (INT-08), no invoices
MC-S09	Two BUs of the same legal entity	baseline	SAME_LE	PPM cross-charge, no invoices, no tax
MC-S10	Redeploy from one ProjectCo project to another while on hire	S1/S2	same IC agreement	Charges continue; project coding switches at the transfer date
MC-S11	Move from ProjectCo to a third group company while on site	S1/S2	two IC agreements	Off-hire for ProjectCo, on-hire for the other, both billed by FleetCo (no sub-lending, OD-13)
MC-S12	Damage found at the return	all	IC or customer	IC: damage on the next statement; customer: R4 R5

CASE	WHAT	SCENARIO	RELATIONSHIP	ENTRIES AND EFFECT
MC-S13	Unit lost or destroyed at the site	all	IC or customer	R6; IC: ProjectCo books it as project cost or an insurance claim
MC-S14	ProjectCo disputes a statement line	S1/S2	IC	Line held; credit or re-rate; the rest invoiced
MC-S15	Month end before the invoices	S1/S2	IC	F5 P1 (both reverse on day 1)
MC-S16	Temporary import about to expire	cross-border	any	Alerts at 30, 14 and 7 days; extend, re-export or regularise

9 Many countries

What changes when the companies, sites or customers are in different countries. Each is data per country or legal entity (GR-7).

TOPIC	REQUIREMENT
Currency	Each agreement has a currency (default: the owner's ledger currency, OD-08). Catalog prices show an estimate in the requester's currency at the daily corporate rate (INT-22). Invoices are converted by Fusion at the invoice date; payments at their date (FX gain or loss, XP4). Reports in each ledger's currency and in the group currency.
Tax (VAT / GST)	Determined by Fusion Tax from the ship-from, ship-to and bill-to parties and the tax registrations of both legal entities. Across borders the service is often taxed in the user's country by reverse charge (XP2). EquipRite stores a tax treatment code per agreement and never calculates tax itself.
E-invoicing	Where a country mandates electronic invoices (clearance or reporting models), the AR invoice must be issued through Fusion's localisation for that country. EquipRite never prints its own tax invoices; it shows Fusion's.
Withholding tax	Some countries withhold tax on rental paid to a non-resident. ProjectCo withholds at payment (XP4); FleetCo records a tax credit where a treaty allows (XF7). Rates and certificates are set per country pair in Fusion.
Transfer pricing	Intercompany rates must be at arm's length and documented: the agreement keeps its method (market rate card or cost plus, OD-04), its evidence and its version history.
Customs	A unit crossing a border needs export and import papers (pro-forma invoice with a customs value, packing list, certificates) and usually a temporary import regime (permit or carnet) with a re-export date. EquipRite keeps the customs record per unit and border crossing and alerts before expiry.
Country compliance	Some equipment needs certificates issued or recognised in the country of use (lifting, pressure, emissions). Allocation to a site in a country is blocked when a mandatory certificate for that country is missing or expires during the hire.
Calendars and time zones	Hours are recorded in the site's time zone; daily rates and utilisation use the site's work calendar (weekends differ by country; public holidays). Month-end cut-offs use each legal entity's accounting calendar.
Language and formats	Each user sees their language, number and date formats; documents in the language of the country where required; right-to-left support when a language needs it.
Data security	Users see their BUs only; owners see the lines that use their fleet; finance sees by legal entity; customers see only their own.

Tax and customs are specialist areas: the tax team confirms the treatment per country pair (OD-09) before go-live. EquipRite stores the codes and dates; Fusion calculates tax and issues tax invoices.

10 Requirements

Business requirements

ID	REQUIREMENT	WHAT IT MEANS
MC-BR-01	Many companies in one EquipRite	Every request, unit, agreement, charge and document belongs to a business unit and a legal entity; any number of companies and countries share one EquipRite.
MC-BR-02	Requests tied to a business unit	A request is raised for a requesting BU; its projects, customers, approvals, currency and accounting follow from it.
MC-BR-03	Group fleet sharing	A company can use equipment owned by another group company (intercompany hire), with the owner's approval and at the agreed transfer price.
MC-BR-04	Three request types, plus own fleet	Internal project (S1), customer project (S2), customer rental (S3); own fleet stays as v1.7.
MC-BR-05	Ownership stays with the owner	No intercompany sale for a hire. Custody and location are tracked apart from ownership (GR-1, GR-6).
MC-BR-06	Assets and stock	Both holding types work in every scenario, with their own movements and accounting.
MC-BR-07	Intercompany billing	The owner bills the user for each period of hire and its extras, with matching documents in both ledgers, coded to the user's project.
MC-BR-08	Customer billing by the contracting company	ProjectCo bills its customer through its project contract (S2); FleetCo bills its rental customer through its agreement (S3).
MC-BR-09	Multi-country	Currency, tax, e-invoicing, withholding, customs, certificates, calendars, time zones and languages per country.
MC-BR-10	Transfer pricing	Intercompany prices only from approved, versioned intercompany agreements, at arm's length.
MC-BR-11	Reconciliation and consolidation	Intercompany charges reconcile to the cent between both ledgers and are marked for elimination.
MC-BR-12	Security by company	Users act only in their BUs; owners see the requests that use their fleet; customers see only theirs.

Functional requirements

A · Companies and master data

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-01	Legal entities, BUs and countries from Fusion (INT-21): country, ledger currency, BU roles (projects, fleet owner, rental to customers), IC organization, time zone, work calendar, tax registration.	A new BU in Fusion appears in EquipRite after the next sync, with its legal entity and country.
MC-FR-02	Ownership on every unit: owner legal entity and BU (from its asset book or inventory org), holding type (asset or stock), home yard, current custody (org, site or customer) and current country. Read-only in EquipRite.	A unit shows its owner and where it is now; an edit of the owner is not possible.
MC-FR-03	Deployment orgs: for each owner and each country where its fleet can sit at other parties' sites, an own org (or subinventory) with a locator per project or customer site.	A stock unit at ProjectCo's site is on hand in FleetCo's deployment org, locator = the project.
MC-FR-04	Intercompany relationships: for each provider BU and receiver BU: allowed or not, relationship type, billing mechanism (OD-01), priority, lead time, cross-border allowed, netting.	A request cannot source from a provider the matrix does not allow.

B · Agreements and prices

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-05	Intercompany agreements (type INTERCOMPANY): provider and receiver BU, currency, IC rate schedule, billing frequency, on-hire and off-hire events, minimum hire, standby %, breakdown credit, transport, operator and fuel terms, damage and loss terms, tax treatment code, payment terms, netting, dates; versioned; approved by both finance teams.	A change creates a new version; charges keep the version they were priced with.
MC-FR-06	Customer agreements for the contracting BU (S3, and S2 when EquipRite invoices): customer, currency, rates, deposit, credit terms.	A customer agreement cannot be used by another BU.
MC-FR-07	Prices in the catalog: the group fleet shows the IC price and an estimate in the requester's currency; customer prices only on customer requests.	The estimate says "estimate at today's rate".

C · The request

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-08	A requesting BU on every request: defaulted from the user's BU access, changeable among the user's BUs until submit, then locked.	A user with one BU never sees the choice; with two, the request header shows it.
MC-FR-09	Request type: internal project, customer project, customer rental; derived from the project (internal vs contract) or chosen (customer rental, no project).	The type decides the flow and who bills whom.

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-10	Projects limited to those the requesting BU can charge; customers to the BU's customers.	ProjectCo's user cannot pick a FleetCo project.
MC-FR-11	Sourcing: own fleet first, then the providers allowed, each unit with its owner, country, lead time and price; the line keeps the chosen provider (or "any allowed", settled at allocation).	Availability shows "FleetCo · Country B · 5 days · 1,000/week".
MC-FR-12	Relationship type per line computed (SAME_BU, SAME_LE, IC_DOMESTIC, IC_CROSS_BORDER); it drives approvals, documents and accounting.	Shown on the line and in the request's history.

D · Approval and allocation

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-13	Requester-side approval by threshold in the requester's currency; owner-side approval always for IC lines (the owner's Equipment Manager), with an SLA and escalation.	An IC line is never allocated before the owner approves.
MC-FR-14	Allocation only from the owner's fleet; the owner's Equipment Manager sees only lines that use its fleet; a line can be split across providers (one line per provider).	FleetCo's manager never sees ProjectCo's other lines.

E · Logistics

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-15	Stock: transfer orders only between orgs of the owner's legal entity; EquipRite checks source and destination before creating one and refuses otherwise.	A transfer order into a ProjectCo org is refused with the reason (GR-6).
MC-FR-16	Assets: dispatch and receipt recorded in EquipRite, with the asset location updated in Fusion where configured (INT-23).	The asset's location in Fusion follows the custody.
MC-FR-17	Cross-border: export and import pack (pro-forma invoice with customs value, packing list, certificates), regime, permit or carnet number, entry date, re-export deadline, alerts at 30, 14 and 7 days.	A unit under temporary import cannot be sent to a third country without its customs record.
MC-FR-18	Country compliance: certificates per unit per country; allocation blocked when a mandatory certificate for the destination country is missing or expires during the hire.	The allocation shows which certificate blocks it.
MC-FR-19	On-hire and off-hire events per agreement (default: on hire at receipt on site, off hire at the site's release date), seen by both companies; transport charged apart.	Both companies see the same dates on the statement.

F · Use on site

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-20	Hours in the site's time zone and work calendar; standby and idle per agreement; approved by the user company, visible to the owner.	A Friday counts as a weekend day at a site whose calendar says so.
MC-FR-21	Breakdowns: owner-caused downtime with start and end; the breakdown credit is applied by the charge run.	The credit line names the breakdown record.

G · Charges

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-22	Charge run per period and company pair: rental, standby, transport, operator, fuel, damage, loss, credits; each line with a unique id, currency, rate source and the receiver's project, task and expenditure type.	Rerunning a period adds only what changed; an invoiced line is never edited.
MC-FR-23	Intercompany statement per pair and period, with evidence; the receiver accepts or disputes lines within N days; the owner resolves (credit or re-rate); full audit trail.	A disputed line is held; the rest goes on.
MC-FR-24	Accruals at the IC cut-off for agreed charges not yet invoiced: mirrored journals in both ledgers (INT-24), reversing on day 1.	Both ledgers show the same accrued amount.

H · Invoices and settlement

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-25	Invoice pair (INT-10 v2): AR invoice in the owner's BU (customer = the user's IC account) and AP invoice in the user's BU (supplier = the owner's IC supplier), same number and amounts, project-coded AP lines, tax by Fusion, safe to retry by statement id; numbers and statuses back on each charge.	Every charge line shows both invoice numbers.
MC-FR-26	Same legal entity, two BUs: PPM cross-charge without invoices when the relationship says so.	No invoice is created for a SAME_LE line.
MC-FR-27	Customer invoices: S3 by FleetCo (INT-11) at the agreement's frequency; S2 by ProjectCo's project contract (recommended) or by EquipRite from ProjectCo (OD-07), never both.	When EquipRite invoices, the IC cost lines are non-billable on the contract.
MC-FR-28	Settlement by monthly netting (OD-10) or payment; EquipRite shows the paid status.	A statement shows "settled" after netting.

I · Return, damage, loss, moves

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-29	Return: off-hire, the return transfer order (stock) or custody back (asset), inspection; damage charged to the user company (IC) or the customer, with photos and the repair estimate; approval of damage charges (OD-11).	A damage charge without photos cannot be released.
MC-FR-30	Loss: charged at the agreed loss value; the owner retires the asset or issues the stock in Fusion; insurance claim reference kept.	The unit leaves the fleet only after the owner's retirement.
MC-FR-31	Moves while on hire: project to project in the same company (charges continue, coding switches at the date); to another group company (off hire for one, on hire for the other, both billed by the owner).	No company bills another for equipment it does not own (OD-13).

J · Reports and control

ID	REQUIREMENT	ACCEPTED WHEN
MC-FR-32	Reports: utilisation by owner company and country; IC charges by pair and month; IC reconciliation (charges vs AR vs AP); margin by scenario; fleet by country with customs and certificate expiry; accrued; disputes by age; in each ledger's currency and the group currency.	The reconciliation report shows zero differences after day 5.
MC-FR-33	Security by BU and legal entity: the requester's BU, the owner's BU for its fleet, finance by legal entity, customers their own (INT-20 extended to BUs).	A user of ProjectCo cannot open FleetCo's rental customers.
MC-FR-34	Notifications: owner approval needed, statement ready, dispute raised or resolved, invoice pair failed, customs expiry, certificate expiry, credit hold.	Each goes to the role named in the setup.
MC-FR-35	Language, formats and the site's time zone per user and document; right-to-left where needed.	Dates on a statement follow the reader's format.
MC-FR-36	Audit: every price, exchange rate and charge traces back to its agreement version, rate, hours and events; agreement changes keep who approved them.	Any charge opens its full trail.

11 Data model

Changes to EquipRite's data. "Today" is what the data model (services/eqp-v1) already has.

ENTITY	FIELDS	TODAY
Legal entities (new)	id, Fusion LE id, name, country, ledger, currency, tax registration, IC organization, calendar, time zone	From Fusion (INT-21)
Business units (extend)	+ legal entity, country, roles (projects / fleet owner / rental to customers), default currency	Today: id and name only, settings per BU
Requests (extend)	+ requesting LE, request type, project BU, currency; requesting BU = today's businessUnitId, now shown and chosen	businessUnitId and orgId exist
Request lines (extend)	+ owner BU and LE, relationship type, IC agreement and version, deployment org, transfer price and currency, customer price	Lines know their fulfilment class (F&M or S&T)
Units (extend)	+ owner LE and BU, holding type, asset book and number, custody status, current country	Units know their yard org
IC relationships (new)	provider BU, receiver BU, type, mechanism, invoicing required, priority, lead time, cross-border allowed, netting	
Agreements (extend)	type INTERCOMPANY with provider and receiver BU, terms of section 6, tax treatment, version	agreementType and currency exist
Charge lines (extend billing transactions)	charge id, type, provider, receiver, line, unit, period, quantity, rate, amount, currency, rate and date of exchange, project / task / expenditure type, status, statement, AR and AP invoice numbers, PPM reference	EQR_BILLING_PKG and billing-transactions exist
IC statements (new)	provider, receiver, period, status (draft, released, disputed, agreed, invoiced, accrued, settled), totals, dispute lines	
Customs records (new)	unit, from and to country, regime, permit or carnet, entry date, re-export deadline, closed date, documents	
Country certificates (new)	unit, country, certificate type, number, issuer, expiry, document	Today: certificates per unit, no country

12 Integrations and setup

Integrations

ID	NAME	BETWEEN	DIR.	WHEN	WHAT
INT-10 (redefined)	Intercompany invoice pair	OIC → Fusion AR (owner) and AP (user)	Out	Per statement	AR and mirror AP invoices, project-coded; idempotent by statement id
INT-11 (changed)	Customer AR invoice	OIC / REST → Fusion AR	Out	Per period	Now from the contracting BU (FleetCo in S3, ProjectCo when it invoices in S2)
INT-04/05/06 (changed)	Transfer order, reservation, release	OIC → Fusion Inventory	Out	At picking	Source and destination must belong to the owner's legal entity
INT-21 (new)	Companies and countries	Fusion → EquipRite	In	Daily	Legal entities, ledgers, BUs, IC organizations, countries
INT-22 (new)	Exchange rates	Fusion GL daily rates → EquipRite	In	Daily	Estimates in the catalog, reports in the group currency
INT-23 (new)	Asset custody and location	EquipRite → Fusion Assets / Maintenance	Out	On dispatch and receipt	Asset-held units: where they are
INT-24 (new)	Intercompany accruals	EquipRite → Fusion GL (both ledgers)	Out	At the IC cut-off	Mirrored, reversing journals
INT-25 (new)	Settlement status	Fusion AR / AP / netting → EquipRite	In	Daily	Paid or netted status per statement
INT-26 (new)	Customer credit	Fusion AR → EquipRite	In	On request	Account status and credit limit before release (S3)

Setup for each pair of companies

WHERE	WHAT
Fusion: enterprise	Legal entities, ledgers, BUs and their IC organizations; intercompany balancing rules (IC receivable and payable accounts per pair)
Fusion: parties	For each pair: the user company as an IC customer in the owner's AR, the owner as an IC supplier in the user's AP
Fusion: tax	Tax registrations of each legal entity; rules for domestic and cross-border equipment hire; withholding by country pair; e-invoicing localisation

WHERE	WHAT
Fusion: inventory	Each owner's yards and deployment orgs per country (stock), subinventories and locators; inter-org parameters inside each legal entity only
Fusion: PPM	Expenditure types (IC equipment rental, IC transport, IC damage); billable or not per contract (OD-07); AP-to-PPM cost import
EquipRite	IC relationships, IC agreements and their rate schedules, deployment org per owner and country, customs and certificate rules per country, notification roles

13 Decisions needed

Decisions the business takes before build. Each has a recommendation; none is settled until its owner agrees.

ID	DECISION	RECOMMENDATION	OWNER
OD-01	How FleetCo bills ProjectCo	A: invoice pair from EquipRite through OIC (section 6)	Finance, Fusion lead
OD-02	Stock at another company's site	The owner's own deployment orgs; never a transfer into the user's org (GR-6)	Supply chain, Finance
OD-03	Depreciation of stock-held fleet	Hold rental fleet as assets (tracked in inventory where needed); stock only for low-value or bulk items	Finance
OD-04	Transfer price basis	Market rate card (arm's length), reviewed yearly; cost plus where no market rate exists	Tax, Finance
OD-05	On-hire and off-hire; in-transit ownership (v1.7 OI-01, OI-05)	On hire at receipt on site, off hire at release; transport charged apart; FOB receipt inside the owner	Functional owner
OD-06	Billing frequency and IC cut-off (v1.7 OI-03)	Monthly, calendar month; statements day 1, invoices day 4	Group finance
OD-07	Who bills Customer X in S2	a: ProjectCo's project contract in PPM; b (EquipRite invoice) only for pure equipment hire	Finance, Projects
OD-08	Agreement currency and FX (v1.7 OI-06)	The owner's ledger currency; the user bears FX	Treasury
OD-09	Tax per country pair	Confirmed by the tax team; configured in Fusion Tax	Tax
OD-10	Settlement	Monthly netting between group companies	Treasury
OD-11	Damage and loss (v1.7 OI-04)	Damage above a threshold needs the user's acceptance; loss value = net book value + %	Functional owner, Finance
OD-12	Approvals	Owner always for IC lines; requester above its threshold	Functional owner

ID	DECISION	RECOMMENDATION	OWNER
OD-13	Sub-lending	Not allowed: only the owner bills, every leg has its own IC agreement	Finance
OD-14	Same legal entity, two BUs	PPM cross-charge, no invoices	Finance
OD-15	Operators and fuel supplied with equipment	Separate charge types on the same statement	Functional owner

14 Today and the plan

What EquipRite has today, and what v2 needs

AREA	TODAY (FROM THE CODE)	V2 NEEDS
Requesting BU	The request record has businessUnitId and orgId; Next's New request neither asks for nor shows it. Settings (rate source, costing) are per BU.	Choose and show it; filter projects and customers by it; derive the legal entity and country
Ownership	Units know their yard org; lines know their fulfilment class (F&M asset, S&T stock).	Owner LE and BU, custody and country on every unit
Intercompany	v1.7 has one case, S10: a customer that is another legal entity, billed by INT-10 (not built). Customers carry a legalEntityId.	IC relationships, IC agreements, sourcing across companies, owner approval
Agreements and rates	Agreements have a type and a currency; rate schedules a currency and a yard.	Provider and receiver BU, IC terms, versions, tax treatment
Logistics	Transfer orders have a source and destination org; Next creates none (they are in New and Old). BU-to-org mapping has roles and subinventories.	Deployment orgs per owner and country; the same-LE check; asset custody; customs
Money	EQR_BILLING_PKG and billing transactions exist; Next posts usage cost to PPM; INT-10 not started, INT-11 partly.	Charge lines with ids, statements, disputes, invoice pair, accruals, reconciliation
Countries	Nothing yet: no FX, withholding, customs, country certificates or site calendars.	Everything in section 9

Build in four steps

STEP	CONTENT	RESULT
A · Companies	Legal entities and countries (INT-21), owner on units, requesting BU on requests, IC relationships, sourcing across companies, owner approval	Requests can use another company's fleet; nothing is billed yet
B · Movement	Deployment orgs, transfer orders inside the owner (bring Next's picking to transfer orders), asset custody (INT-23), customs and country certificates	Equipment can cross companies and borders correctly
C · Money	IC agreements, the charge run, statements and disputes, the invoice pair (INT-10), accruals (INT-24), customer billing per OD-07, settlement status	FleetCo bills ProjectCo every month, reconciled
D · Control	Reports, consolidation support, netting, security by BU and LE, notifications, languages	Group finance closes with zero IC differences

Step B starts with what Next lacks anyway: transfer orders (create, reserve, release) are built in New and Old but not in Next. Building them in Next with the same-legal-entity check serves v1.7 and v2 at once.

15 Glossary

TERM	MEANING
Business unit (BU)	A unit of a company in Fusion that runs processes (projects, payables, receivables).
Legal entity (LE)	A company in law, with its own ledger, tax registration and country.
Intercompany (IC)	Between two legal entities of the same group.
Transfer price	The price one group company charges another.
Invoice pair	The owner's AR invoice and the user's mirror AP invoice, with the same number and lines.
Cross-charge	Moving a cost between two BUs of one legal entity, without invoices (PPM borrowed and lent).
Netting	Settling what group companies owe each other by the difference, instead of paying both ways.
Elimination	Removing intercompany revenue, cost and balances when the group's accounts are consolidated.
CIP	Construction in progress: cost of an asset being built, before it goes into service.
Reverse charge	VAT accounted by the buyer instead of the seller, common for cross-border services.
Withholding tax	Tax a payer keeps back from a payment to a non-resident and pays to its own tax authority.
Temporary import	Bringing equipment into a country for a limited time without paying duties, under a permit or carnet.
On hire / off hire	The dates a hire starts and ends for charging.
Custody	Who has the unit now (which company, site or customer), as opposed to who owns it.
Deployment org	The owner's own inventory org where its stock sits while at another party's site.
Holding type	Asset (capitalised, in Fixed Assets) or stock (an inventory item).